
Oracle Fusion Cloud Procurement

Contract Management Module

Setup, Configuration & End-to-End Process Guide

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Overview of Oracle Procurement Contracts

Oracle Fusion Cloud Procurement Contracts is an enterprise-grade contract management solution that enables procurement agents and their managers to create, negotiate, approve, and administer supplier contracts throughout their full lifecycle. It integrates tightly with Oracle Purchasing, Oracle Financials, Oracle Projects, and third-party procurement systems to provide an end-to-end contracting platform.

This guide covers the setup and configuration of the Procurement Contracts module, including Contract Types, the Contract Terms Library (clauses, templates, Contract Expert), contract authoring, approval workflows, contract fulfillment, and lifecycle management. All setup paths reference Oracle Fusion Cloud 25B and later.

Key Functional Areas

- Contract Creation and Header Setup
- Contract Types and Business Unit Configuration
- Contract Terms Library: Clauses, Templates, and Variables
- Contract Expert: Automated Clause Insertion Rules
- Contract Approval and Electronic Signature
- Contract Fulfillment and Purchasing Document Integration
- Contract Lifecycle: Amendments, Holds, and Renewals

Prerequisites

Before beginning the configuration steps in this guide, ensure the following prerequisites have been completed:

1. Business Units have been defined and the Procurement Business Function has been configured
2. Legal Entities and Ledgers are set up in Oracle Financials
3. Suppliers and Supplier Sites are active in Oracle Procurement
4. Items and the Item Master Organization are available if contract lines will reference inventory items
5. Oracle Approvals Management (AME) or BPM Workflow is accessible for approval rule configuration
6. Users have been assigned appropriate job roles (e.g., Contract Administrator, Procurement Agent)

1. Configure Supplier Contract Business Function Properties

Before creating any contracts, you must configure the Supplier Contract Business Function Properties for each Business Unit that will manage supplier contracts. This step determines the Contract Terms Library administrator, enables Contract Expert, and specifies the layout templates used for contract printing.

Setup Path: *Setup and Maintenance > Enterprise Contracts > Procurement Contracts > Specify Supplier Contract Management Business Function Properties > Edit > Save and Close*

Key Fields to Configure

- **Contract Terms Library Administrator:** The employee who will receive notifications and approvals for library content such as clauses and templates.
- **Enable Contract Expert:** Tick this checkbox to allow automated, rule-based clause insertion during contract authoring.
- **Enable Content Adoption:** Allows this business unit to adopt clauses and templates created in a global business unit.
- **Enable Automatic Approvals for Adopted Content:** Bypasses the approval step when content is adopted from a global BU.
- **Contract Deviation Report Layout Template:** Specifies the BI Publisher template used to format the deviations report submitted to approvers.
- **Contract Terms Layout Template:** Specifies the layout template used to format structured contract terms for printing.

Note: You must configure these properties separately for each Business Unit that will use Procurement Contracts. A single Oracle Fusion environment can have multiple Business Units with independent contract configurations.

Specify Supplier Contract Management Business Function Properties ? Save

Business Unit: Supremo US Business Unit Default Currency: USD - US Dollar

Terms Library

Common to Buy and Sell Intent

☐ Global business unit

Buy Intent Only

☒ Enable Contract Expert

☐ Automatically adopt global clauses

☒ Display clause number in clause title

Document Ingestion for Buy Intent

☐ Enable ingestion of contracts and clauses

Ingest Contracts Effective From: m/d/yy

Clause Numbering Method: Manual

Clause Numbering Level:

Clause Sequence Category:

Clause Layout Template:

Deviations Layout Template:

Terms Library Administrator:

2. Create and Manage Contract Types

A Contract Type is a mandatory classification that determines the nature and behaviour of a contract. It controls which tabs, fields, and lines are visible, what parties and party roles are permitted, and what approval and signature requirements apply. You must define at least one Contract Type before any contract can be created.

Setup Path: *Setup and Maintenance > Enterprise Contracts > Manage Contract Types > Create > Fill Data > Save and Close*

Core Configuration Fields

- **Name and Description:** A unique, descriptive name for the contract type (e.g., 'Supplier NDA', 'Master Supply Agreement', 'Purchase Contract').
- **Intent:** Select Buy for procurement contracts. The intent determines which Contract Terms Library clauses (buy-intent) and templates are available.
- **Class:** Select Enterprise Contract for standalone contracts. Select Agreement for framework agreements used for future purchases.
- **Enable Lines:** Check this if the contract will include line-level items or services. Leave unchecked for header-only agreements.
- **Acceptance:** Select Manual Signature or Electronic Signature. If no acceptance is required, contracts move directly to Active upon approval.
- **Default Contract Terms Template:** Optionally specify a Contract Terms Library template that is automatically applied when a contract of this type is created.

Party Roles

Each Contract Type specifies which party roles are permitted on contracts of that type. Oracle provides predefined roles (e.g., Supplier, Buyer, Internal Party). You can add custom roles. At minimum, you must specify an Internal party role and an External party role for procurement contracts.

Validation Rules

You can configure validation rules for each contract type to enforce business policies. These rules are checked when the contract author selects Validate or submits for approval. Examples include requiring at least one contract line, enforcing a minimum contract value, or requiring a specific clause to be present.

Manage Contract Types ?					Done
Actions View + Detach					
Name	Description	Start Date	End Date	Set	
Nondisclosure Agreement		1/1/01		Common Set	
Buy : Agreement Lines	Buy Agreement Lines	1/1/01		Common Set	
Buy : Lines	Buy Contract with Lines	1/1/01		Common Set	
IT-Hardware		4/1/21		Healthcare BU Set	
FR - Contrat ma société		10/7/15		France BU Set	
Business Associate Agree...		4/1/21		Healthcare BU Set	
Capital Equipment		4/1/21		Healthcare BU Set	
Master Contract		4/1/21		Healthcare BU Set	
Buy : No Lines	Buyside contract Without lines	1/1/01		Common Set	
Buy : Project Lines		1/1/01		Common Set	
Buy : Agreement No Lines	Buy Agreement without Lines	1/1/01	9/24/19	Common Set	
Facilities Service Agree...	Facilities Service Agreement	1/1/01		Common Set	
Nondisclosure Agree...		11/24/20		Common Set	
IT-Software		4/1/21		Healthcare BU Set	
Buy : Agreement No Line...	Buy: Agreement No Lines w Terms	9/11/01		Common Set	
Master Services Agree...	Contract type for Master Services Agreement	1/1/01		Common Set	

Edit Contract Type: Buy : Agreement Lines ?		Save	Save and Close
Overview			
Class Agreement	Intent Buy		
* Set Common Set	Buyer Role Customer		
* Name Buy : Agreement Lines	Seller Role Supplier		
Description Buy Agreement Lines	Contract Owner Role Contract administrator		
Code	Buyer Contact Role Buyer		
Start Date 1/1/01	Requester Contact Role Buyer		
End Date m/d/yy	Contract Layout Template SupplierContract		
☒ Allow lines	Terms Layout Template ContractTermsPlusAmendmentsProcurement		
☒ Enable automatic line numbering	☐ Notify before expiration		
☐ Requires signature	Days to Expiration		
	Contact role to be notified		
	Contract Numbering Method Automatic		
	* Contract Numbering Level Global		
	* Contract Sequence Category Authoring Category Name		

3. Manage Clauses in the Contract Terms Library

The Contract Terms Library is the central repository for all standard legal language used in contracts. Clauses are the building blocks of contract terms. Once approved, clauses are available for use in contract terms templates and can be added manually during contract authoring.

Setup Path: *Contracts Work Area > Terms Library > Clauses > Create > Fill Data > Submit for Approval > Save and Close*

Clause Authoring Fields

- Title: The clause heading as it will appear in the contract.
- Intent: Set to Buy for procurement clauses. A clause can only be assigned to one intent.
- Clause Text: The full legal text of the clause. Variables can be embedded using the format {VariableName} to insert dynamic data (e.g., payment terms, contract amount, supplier name).
- Clause Number: An optional reference number for the clause, useful for FAR/DFAR compliance in government contracting.

Clause Behaviour Properties

- Mandatory: When checked, contract authors cannot delete this clause from a contract. It will always be included.
- Protected: When checked, contract authors cannot edit the clause text in a specific contract. Only users with the Override Contract Terms and Conditions Controls privilege can modify it.
- Alternate Clause: Specifies this clause as an acceptable substitute for another standard clause. During authoring, the system applies the standard clause, but the author may switch to an approved alternate.
- Incompatible Clause: Specifies that this clause and another clause cannot coexist in the same contract. The system flags a validation error if both are present.

Clause Lifecycle

Creating a clause saves it in Draft status. It must be submitted for approval before it becomes available for use. While a clause is under approval, no edits can be made. Once approved, the clause is active and available within its Business Unit. If the clause text must be updated, a new version is created and submitted for approval, while the previous approved version remains in use until superseded.

Note: Saving a clause saves it as a draft. Submitting a clause triggers validation checks and sends it through the clause approval workflow. Edits are not permitted while approval is in progress. The clause must be either approved or rejected before further editing is allowed.

Create Clause

Status Draft Version 1 Adoption Type

General Information

* Business Unit		* Start Date	5/2/26
* Number		End Date	m/d/yy
* Title		Description	
Display Title		☐ Protected	
* Intent		☐ Provision	
* Type		Cross-Reference Variable	
Default Section			

Clause Details

Text Instructions Related Clauses Folders

Insert Variables Import Export

B I U x₂ x² := ∴ ≡ ≡≡ − ¶ ©

Edit Clause NDA - Confidential Information ?

Actions ▾Save ▾Cancel

Status ApprovedVersion ↑Adoption Type Local

General Information ?

Business Unit

Supremo US Business Unit

Number

1105

Title

NDA - Confidential Information

Display Title

Confidential Information

Intent

Sell

Type

General terms

Start Date

4/1/19

End Date

mid/yy

Description

Confidential Information

Protected

Provision

Default Section

Cross-Reference Variable

Additional Information

Clause Details

Text

Instructions

Related Clauses

Folders

History

Terms Templates

View Source

Export ?

One party hereto [Primary Party Name] may disclose to the other party hereto [Contract Organization] certain Confidential Information pursuant to this Agreement which Owner deems proprietary and confidential. The Parties agree that Recipient shall not use and shall prevent the disclosure of any information it receives from Owner that is marked PROPRIETARY AND CONFIDENTIAL, or similarly marked, or any other information (whether delivered in writing or verbally) which by its nature would be reasonably considered as confidential, to any other person, firm or corporation or delivered in connection with the evaluation of the Transaction, except as provided herein, and shall use the same degree of care to avoid disclosure of such information as Recipient employs with respect to its own Confidential Information of like importance.

4. Create and Manage Contract Terms Templates

A Contract Terms Template is a pre-built structure of sections and clauses that can be automatically applied to a contract during authoring. Templates ensure that standard legal language is consistently applied across all contracts of the same type, reducing the risk of missing clauses and improving compliance with company policy.

Setup Path: *Contracts Work Area > Terms Library > Contract Terms Templates > Create > Add Sections and Clauses > Assign Document Types > Submit for Approval > Save and Close*

Template Structure

- **Sections:** Logical groupings of clauses within the template (e.g., 'Payment Terms', 'Confidentiality', 'Intellectual Property').
- **Clauses:** Approved clauses from the Contract Terms Library are added to sections. Each clause can be marked as mandatory within the template or left optional for the author to include or remove.
- **Numbering Scheme:** A numbering scheme can be associated with the template to automatically number sections and clauses in the generated contract. Predefined schemes are available, or custom schemes can be created.
- **Variables:** Sections and clauses may contain system variables (e.g., Supplier Name, Contract Amount) that are automatically resolved from the contract header and line data.

Document Type Assignment

Each template must be assigned to one or more Document Types (Contract Types or procurement document types such as Purchase Orders). When set as the default template for a Document Type, the template is automatically applied to all new contracts of that type. Only one template can be set as the default per Document Type.

Template Validation

Before a template can be submitted for approval, the application performs validation checks. All errors must be resolved; warnings are optional. Common validation rules include: every section must contain at least one clause, no incompatible clauses may coexist in the template, and all referenced variables must be defined in the Contract Terms Library.

Edit Terms Template: Ameya Terms Template

Actions

SaveSubmitCancel

Last Saved 5/2/26 7:08 PM

Business Unit

Supremo US Business Unit

Status

Draft

Name

Ameya Terms Template

Intent

Buy

Type

Structured

Start Date

5/2/26

End Date

m/d/yy

General

Clauses

Deliverables

Rules

Translations

Description

Instructions

Layout Template

Language

Translated from Template

Global

Enable manual terms refresh

Allow background upload

Display content control in downloaded contract

Contract Expert

Enable

Default Section

General Terms

Expert clauses mandatory

Notify before section creation

Document Types

Specify the document types where the contract terms template can be used.

Actions

View

Format

Freeze

Wrap

Document Type

Default

Standard Purchase Order

5. Configure Contract Expert Rules

Contract Expert is an optional but powerful feature within the Contract Terms Library that automatically inserts or removes clauses in a contract based on answers to questions or the values of variables in the contract. It ensures that the correct legal language is included for specific business scenarios without requiring the contract author to manually identify which clauses are needed.

Setup Path: *Contracts Work Area > Terms Library > Contract Expert > Create Rule > Define Conditions > Specify Clause Actions > Activate > Save and Close*

Rule Components

- **Rule Name and Description:** A descriptive name that becomes the deviation name in the Contract Deviations Report when the rule flags a policy issue.
- **Conditions:** Built from variables and/or questions. The rule fires when the conditions evaluate to true during contract authoring. Examples: 'If Contract Amount > 1,000,000 USD' or 'If Jurisdiction = European Union'.
- **Questions:** Contract authors are prompted to answer questions defined in the rule. Based on their answers, additional clauses may be inserted or removed automatically.
- **Clause Actions:** Define what happens when conditions are met — Insert Clause, Remove Clause, or Insert Alternate Clause. The target clause must already be approved in the Contract Terms Library.
- **Policy Deviation Rules:** A special type of Contract Expert rule that flags deviations from company policy in the Contract Deviations Report. These do not insert or remove clauses; they alert approvers to non-standard contract terms.

Rule: Audit Penalty ② Create Revision Cancel Status Active

General Information

Business Unit	Supremo US Business Unit	Description	
Type	Clause selection	Last Updated By	john.martin
Name	Audit Penalty	Last Updated Date	5/14/19
Intent	Sell		
Created By	john.martin		
Creation Date	5/14/19		

Details

Conditions Results Terms Template Assignments

Condition Option Match all

View ▼ Detach ②

Type	Name	Operator	Value	Edit Values
Question	Audit Penalty	Is	No	

Rule: Audit Penalty [?](#) Create Revision Cancel Status Active

General Information

Business Unit: Supremo US Business Unit

Type: Clause selection

Name: Audit Penalty

Intent: Sell

Created By: john.martin

Creation Date: 5/14/19

Description:

Last Updated By: john.martin

Last Updated Date: 5/14/19

Details

Conditions **Results** Terms Template Assignments

Clauses [?](#)

View [Detach](#)

Title	Number	Description	Type	Details
PRM - Audit	1112		General terms	?

Rule: Audit Penalty [?](#) Create Revision Cancel Status Active

General Information

Business Unit: Supremo US Business Unit

Type: Clause selection

Name: Audit Penalty

Intent: Sell

Created By: john.martin

Creation Date: 5/14/19

Description:

Last Updated By: john.martin

Last Updated Date: 5/14/19

Details

Conditions Results **Terms Template Assignments**

— Apply to all terms templates

Use the checkbox to apply this rule to all terms templates or add specific templates below.

Terms Templates [?](#)

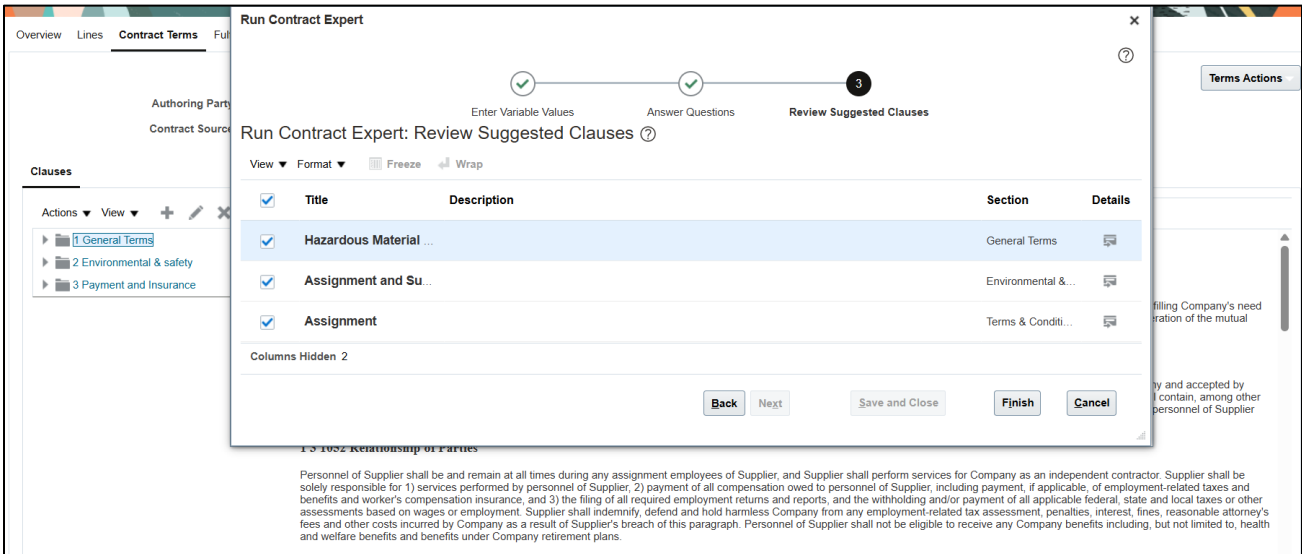
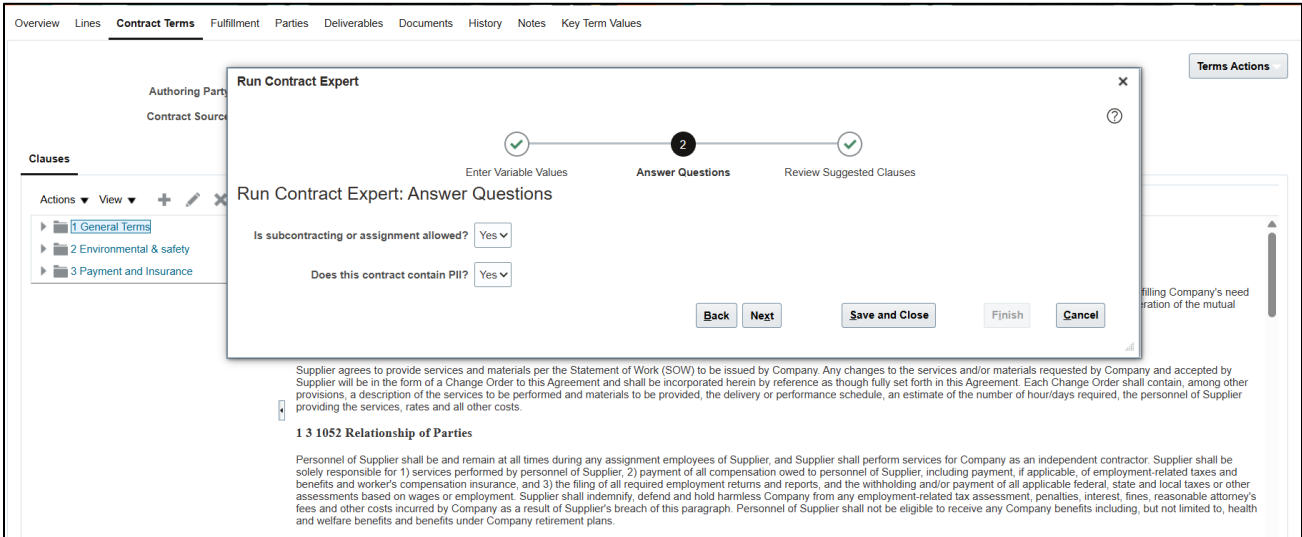
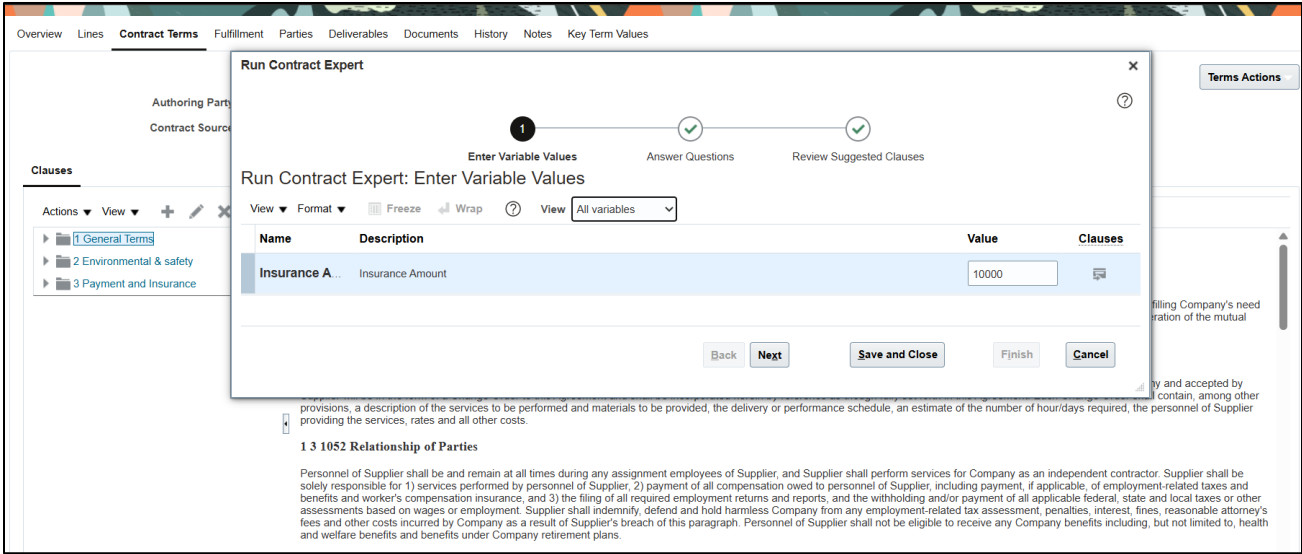
View [Detach](#)

Name	Status	Description
Software License Serv ...	Approved	Terms template for Software License and Service

Running Contract Expert During Authoring

When a contract author works on a contract that has a Contract Expert-enabled template, the system presents the defined questions at the appropriate time. The author's responses trigger the relevant clause insertions. Authors can also run Contract Expert manually at any time from the Contract Terms tab. All Contract Expert questions must be answered before the contract can be submitted for approval — unanswered questions generate validation warnings.

Note: Policy deviation rules list deviations in the Contract Deviations Report alongside any clause deviations flagged automatically by the system. Authors can run the report before submitting for approval and add comments to explain any deviations to the approver. The report is automatically re-run at submission and a copy is attached to the approval notification.



6. Authoring a Procurement Contract

With the foundational setup complete, procurement agents can begin creating supplier contracts. The authoring process follows a structured sequence of steps from basic information entry through to submission for approval.

Setup Path: *Contracts Work Area > Create Contract > Enter Header Information > Add Lines > Author Terms > Create Fulfillment > Validate > Submit for Approval*

Step 1: Enter Basic Contract Information

In the Create Contract window, the following fields are mandatory:

Business Unit: The BU where the contract is being created. This determines which Contract Types are available.

Type: The Contract Type selected here drives what tabs, lines, terms, and fulfillment options are visible on the contract.

Primary Party: The primary supplier entering into the contract.

Contract Start and End Dates

Contract Currency

Authoring Party: Select Internal if your organization is drafting the contract. Select External if the supplier has provided the contract text, which will be attached as a document.

Note: Business Unit, Legal Entity, Contract Currency, Contract Type, and Contract Number cannot be changed after the contract is created. Verify these values carefully before saving.

The screenshot displays the Oracle Fusion Cloud Procurement interface. At the top, there's a 'Contracts' header with a search bar for 'Number' and a 'List' button. A 'Create Contract' button is located in the top right corner. The main content area shows a 'Create Contract' modal window. This modal contains several mandatory fields, each marked with an asterisk: 'Business Unit' (set to 'Supremo US Business Unit'), 'Legal Entity' (set to 'Supremo US Legal Entity'), 'Type', 'Primary Party', 'Start Date' (set to '5/2/26'), 'End Date' (set to 'm/d/yy'), and 'Currency' (set to 'USD - US Dollar'). A tooltip labeled 'Business Unit' is visible over the Business Unit field. At the bottom of the modal, there are two buttons: 'Save and Continue' and 'Cancel'.

Step 2: Complete the Contract Header

On the Header tab, additional information is entered depending on the Contract Type. This may include:

- Additional Contract Parties and Contacts (e.g., secondary suppliers, internal stakeholders, designated signers)
- Contract Risk information: risk type, probability, and mitigation strategy
- Related Contracts: links to parent agreements, predecessor contracts, or related transactions
- Contract Documents: attachments such as Statement of Work, Scope of Work, or Supplier-provided terms
- Notes: internal comments visible to the procurement team but not printed in the contract
- Commitment Details: Encumbrance Level (Agreement or Release) to reserve funds via Oracle Budgetary Control

Step 3: Add Contract Lines

If the Contract Type enables lines, navigate to the Lines tab to specify what is being purchased. Two line types are supported:

- Item Lines: For goods or services tracked in the Item Master. The item master inventory organization specified in the contract header is used to select items.
- Free Form Lines: For goods or services not tracked in inventory, described with a free-text description, quantity, and unit of measure.

Step 4: Author Contract Terms

On the Contract Terms tab, the contract's legal terms and conditions are defined. Depending on the Contract Type, a default template may already be applied. The author can:

- Accept the default template, choose an alternative template, or attach the terms as an external Word document
- Add, delete, or reorder clauses and sections (subject to mandatory and protected clause restrictions)
- Run Contract Expert to answer questions and trigger automated clause insertions
- Edit variable values for dynamic clause content (e.g., payment terms, warranty period)
- Download the contract to Microsoft Word for offline editing, then re-upload using the Upload Contract action
- Select Review Contract Deviations to generate the deviations report and identify any departures from company standard terms before submission

Step 5: Create Contract Fulfillment

If the Contract Type enables fulfillment, navigate to the Fulfillment tab to create fulfillment lines. These lines track the delivery of goods, services, and reports under the contract and can be used to initiate purchasing documents in Oracle Fusion Purchasing once the contract becomes active.

- Select Autocreate Fulfillment Lines from the Actions menu to automatically generate one fulfillment line per contract line, pre-populated with header and line data.
- Alternatively, use the Create Fulfillment action on the Fulfillment tab to create lines manually and enter purchasing details such as buyer, supplier site, and requested delivery date.

Step 6: Validate and Submit for Approval

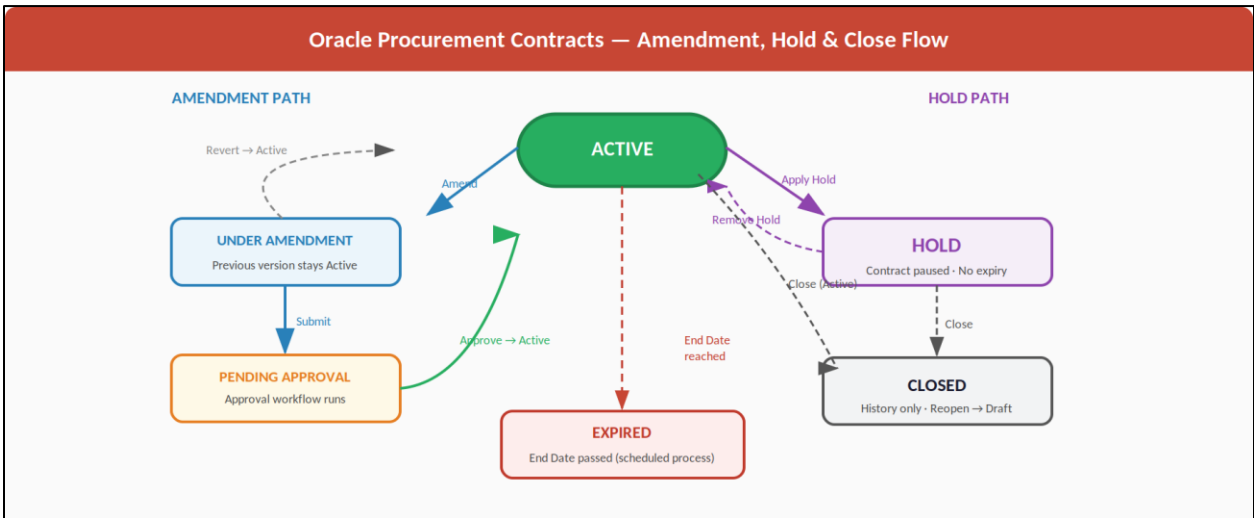
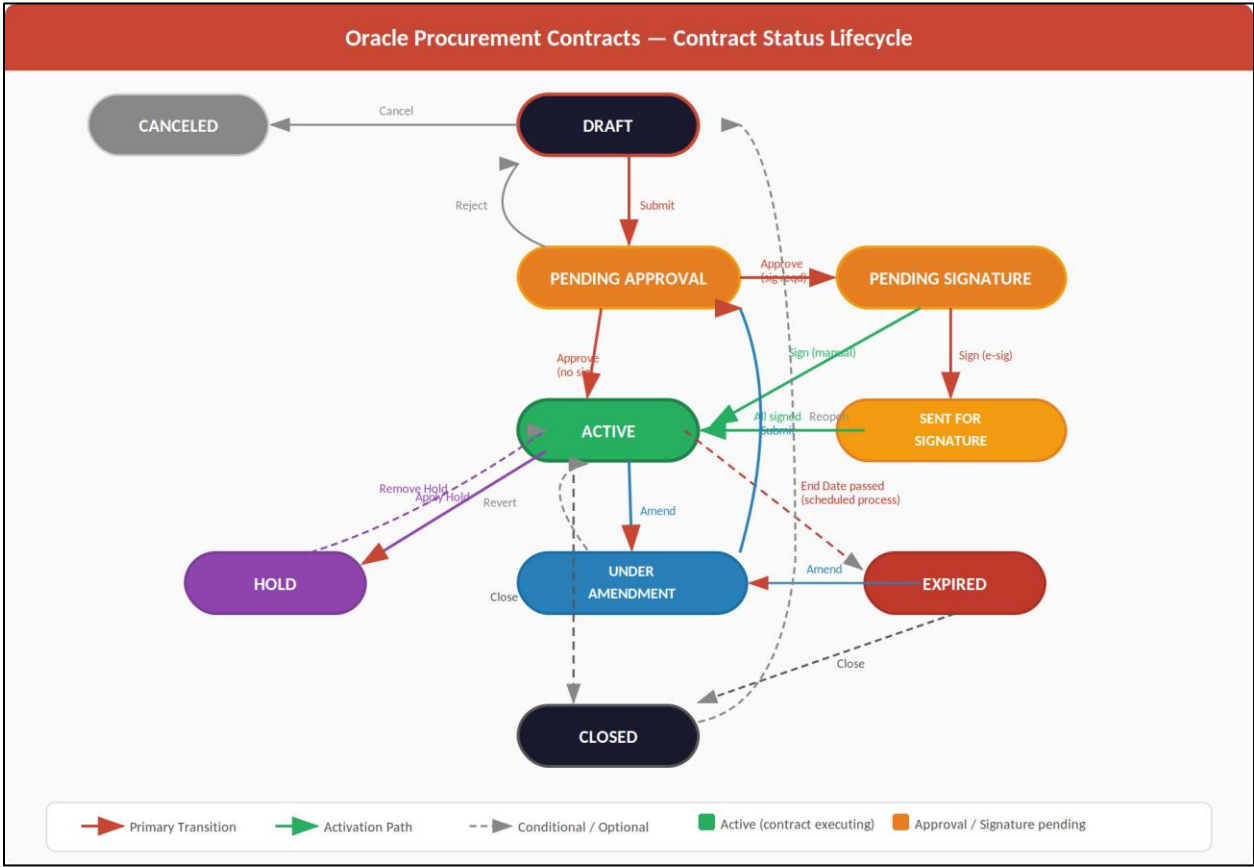
Select Validate from the Actions menu to run all validation checks before submission. The system checks for required fields, active contract types, at least one contract owner, active line types, and all pending variable values. All errors must be resolved. Warnings may be noted but are not blocking. Click Submit to send the contract to the approval workflow. The validation process is repeated automatically at submission.

7. Contract Lifecycle: Statuses and Transitions

Oracle Procurement Contracts follows a predefined set of contract statuses. You cannot create new system statuses, but you can define User Statuses and User Status Transitions to model internal review workflows (e.g., passing the contract between legal review, commercial review, and risk review teams before formal submission for approval).

Status	Description	Key Actions & Resulting Statuses
Draft	Initial status when a contract is first created.	Submit for Approval → Pending Approval; Cancel → Cancelled; Create New Version → Draft
Cancelled	Contract was cancelled from Draft status.	No further status transitions available.
Pending Approval	Contract has been submitted and is awaiting internal approver action.	Approve → Active or Pending Signature; Reject → Draft; Stop Approval → Draft
Pending Signature	All approvers have approved but the contract awaits manual or electronic signature.	Sign Contract → Active, Sent for Signature, Hold, or Expired; Cancel → Cancelled
Sent for Signature	Contract has been sent to signers via the integrated electronic signature solution.	All sign → Active; Signer declines / sender voids → Pending Signature
Active	Contract is fully approved and accepted. Fulfillment can now be executed.	Amend → Under Amendment; Apply Hold → Hold; Close → Closed
Hold	A hold has been applied to an active contract. The Update Contract Status process will not expire held contracts.	Remove Hold → Active or Expired; Amend → Under Amendment; Close → Closed
Under Amendment	Contract is being amended. The previous active version remains in force.	Submit for Approval → Pending Approval; Revert → Active; Create New Version → Under Amendment
Expired	Contract end date has been reached. Requires the Update Contract Status scheduled process to transition.	Amend → Under Amendment; Apply Hold → Hold; Close → Closed

Status	Description	Key Actions & Resulting Statuses
Closed	Contract has been terminated or closed after expiration.	Reopen → Draft



8. Configure Contract Approval Rules

Contract approval rules are managed through Oracle BPM Worklist (Approval Management). Separate approval flows exist for contracts, clauses, and contract terms templates. You configure Approval Groups and Task Configuration Rules for each flow.

Setup Path: *Setup and Maintenance > Manage Task Configurations for Customer Relationship Management > Search: ContractsApproval / ContractClauseApproval / TemplateApprovalHumanTask > Edit Rules > Deploy*

Creating Approval Groups

1. Navigate to the Manage Approvals page and click the Approval Groups tab.
2. Click the Add (+) icon in the Groups region to create a new group.
3. Enter a name for the group (e.g., 'Legal Approvers L1', 'Commercial Approvers L2').
4. Click Save, then use the Add Member icon to add employees by email address.
5. Repeat to create separate groups for each approval tier.



Configuring Approval Task Rules

Click the Task Configuration tab and search for the relevant human task:

- ContractApproval: Governs the approval workflow for contracts submitted by procurement agents.
- ContractClauseApproval: Governs the approval workflow for new or revised clauses submitted by the Contract Terms Library administrator.

- **TemplateApprovalHumanTask:** Governs the approval workflow for new or revised contract terms templates.

For each task, click the Rules subtab to define routing rules. Rules are built on contract attributes such as Contract Amount, Contract Type, Business Unit, or Supplier. Route to a specific approval group, a named employee, or a supervisory hierarchy based on the rule conditions. Multiple rules can be chained for multi-tier approval (e.g., Manager for contracts up to USD 100,000; Legal + CFO for contracts above USD 1,000,000).

9. Contract Fulfillment and Purchasing Document Creation

Contract Fulfillment is the mechanism that connects an active supplier contract to purchasing execution in Oracle Fusion Purchasing. It enables procurement teams to track what goods, services, and reports are to be delivered under the contract, and to initiate and monitor the creation of Purchase Orders (POs) and Blanket Purchase Agreements (BPAs) directly from the contract.

Setup Path: *Contracts Work Area > Edit Contract > Fulfillment Tab > Autocreate Fulfillment Lines (or Create Fulfillment) > Enter Purchasing Details > [Activate Contract] > Initiate PO/Agreement > Monitor Status*

Fulfillment Line Types

- **Contractual Fulfillment Lines:** Directly tied to the terms of the contract. These are always inbound (supplier responsibility) for buy-intent contracts. Used to create Standard POs (for immediate purchases with contract lines) or Blanket Purchase Agreements / Contract Purchase Agreements (for future purchase contracts without lines).
- **Noncontractual Fulfillment Lines:** Not negotiated as part of the contract. Used to monitor supplementary delivery obligations or quality milestones. Can be inbound (supplier delivers) or outbound (buyer delivers).

Creating Fulfillment Lines

- **Autocreate Fulfillment Lines (from contract header):** Creates one contractual fulfillment line per contract line, pre-populated with line data. If the contract has no lines (Agreement class), one fulfillment line is created at the header level.
- **Create Fulfillment (from Fulfillment tab):** Allows manual creation of individual fulfillment lines with full control over line-level details.

Fulfillment Statuses

A fulfillment line passes through the following statuses:

- **Incomplete:** Initial status. The contract must be Active before purchasing documents can be initiated.
- **PO Creation Started / Agreement Creation Started:** The creation process has been triggered and is being validated.
- **PO Created / Agreement Created:** The purchasing document has been successfully created in Oracle Fusion Purchasing.
- **PO Creation Failed / Agreement Creation Failed:** The creation attempt failed due to a validation error in Purchasing. Edit the fulfillment to correct the issue, then retry.
- **Complete:** The fulfillment has been marked complete by the buyer.

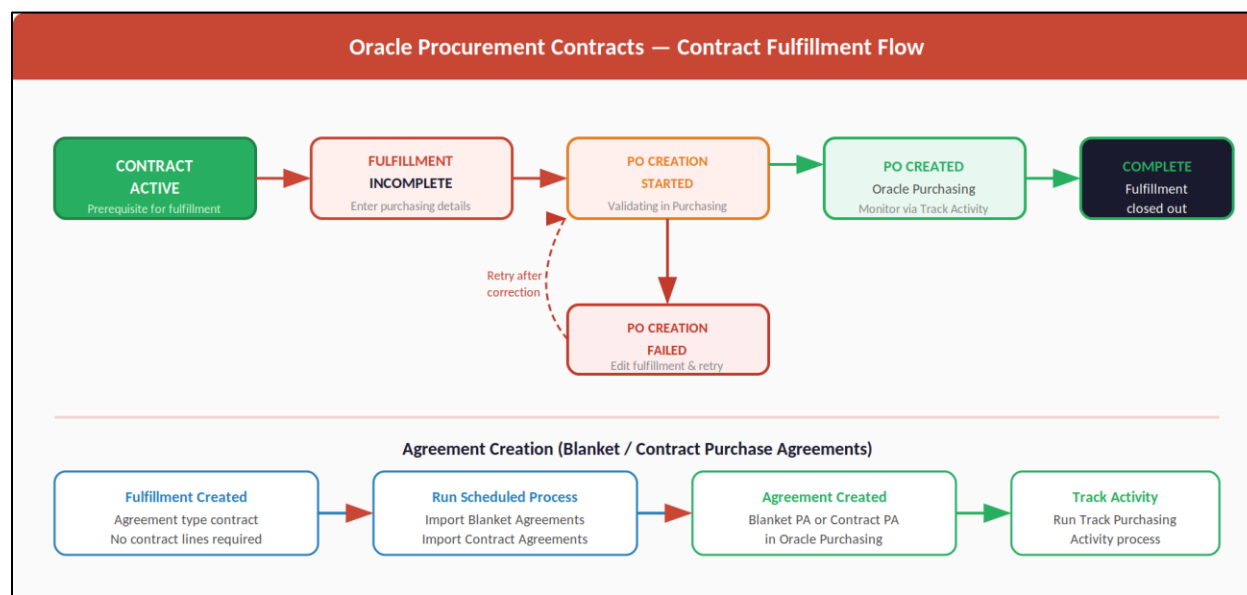
- Cancelled: The fulfillment line has been cancelled, either manually or because the contract line or contract was cancelled.

Running Purchasing Integration Processes

After initiating fulfillment, run the following scheduled processes from the Contracts work area (Manage Processes):

- Track Purchasing Activity: Retrieves updated status information from Oracle Purchasing and displays it on the fulfillment lines. Schedule this process to run periodically.
- Import Blanket Agreements: Required to create Blanket Purchase Agreements in Oracle Purchasing from fulfillment lines. (Purchase Orders are created automatically and do not require this process.)
- Import Contract Agreements: Required to create Contract Purchase Agreements in Oracle Purchasing from fulfillment lines.

Note: Purchase orders are created automatically when you initiate a purchase order from a contract fulfillment line. However, you must run Import Blanket Agreements to create blanket purchase agreements and Import Contract Agreements to create blanket contract agreements.



10. Amending, Holding, and Closing Contracts

Oracle Procurement Contracts supports a full range of post-activation lifecycle management actions. Amendments allow changes to contract terms and conditions while the contract is active. Holds prevent a contract from expiring and can pause activity. Contract Closeout terminates a contract and moves it to a final, read-only Closed status.

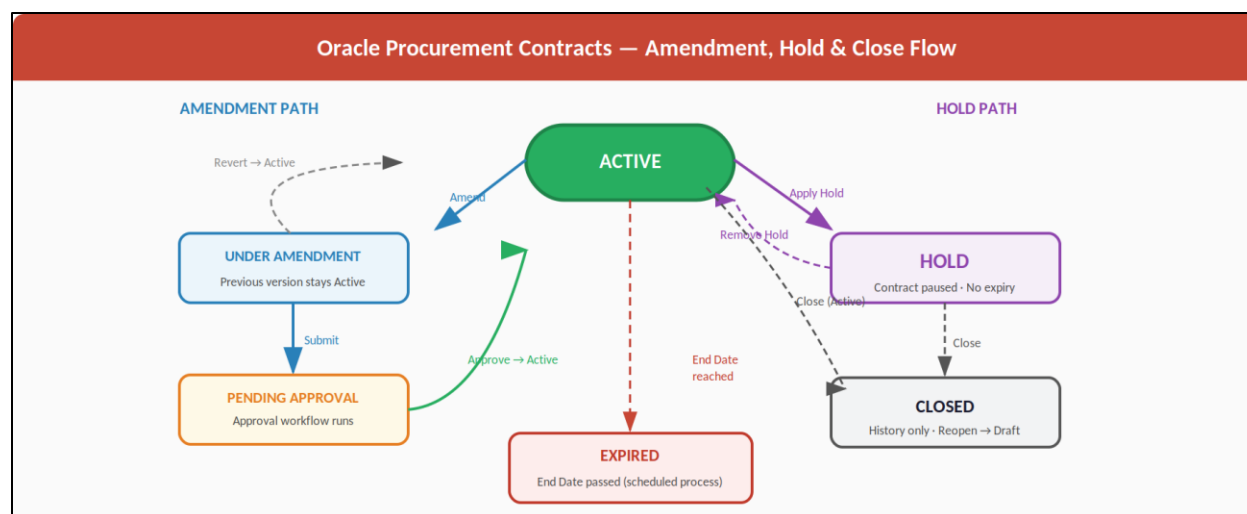
Amending a Contract

Setup Path: *Contracts Work Area > Search Contracts > Select Active Contract > Actions > Amend > Make Changes > Submit for Approval*

Selecting Amend from the Actions menu creates a new version of the contract in Under Amendment status. The previous Active version of the contract remains in force until the amendment is approved. During amendment, all contract details can be modified except fulfillment lines on the current amendment version — however, purchasing activity can still be executed on the most recent active version's fulfillment.

- Amendment Effective Date: Must be the same as or earlier than the contract start date for the amendment to take effect from a specific point in time.
- Amendment Description: Required for contract amendment terms when the amendment is printed.
- Print Amendment Summary: After approval, you can print either a full amended contract or a summary of changes only, showing sections and clauses added, deleted, or modified.

If the amendments are approved, the status returns to Active (or Hold if a hold was in place). If the amendments are rejected, the contract returns to Under Amendment so corrections can be made. If the author wishes to abandon the amendment, selecting Revert returns the contract to its previous Active state and discards all changes.



Applying and Removing a Hold

A Hold pauses a contract. The Update Contract Status scheduled process will not transition a contract on Hold to Expired, even if its end date has passed. This is useful for contracts under legal dispute or pending renegotiation. Holds can be applied from Active status. The contract returns to Active (or Expired, if past end date) when the hold is removed.

Closing (Terminating) a Contract

Selecting Close from the Actions menu terminates the contract and moves it to Closed status. Closed contracts are no longer available in standard searches and can only be found via contract history. If a closed contract needs to be reactivated, the Reopen action returns it to Draft status for corrections and resubmission for approval.

11. End-to-End Process Summary

The following table summarises the complete end-to-end configuration and operational sequence for Oracle Procurement Contracts, from initial setup through to active contract management.

#	Step	Setup Path / Action
1	Configure BU Properties	Setup and Maintenance > Specify Supplier Contract Management Business Function Properties
2	Create Contract Types	Setup and Maintenance > Manage Contract Types > Create
3	Create Clauses	Contracts Work Area > Terms Library > Clauses > Create > Submit for Approval
4	Create Contract Terms Templates	Contracts Work Area > Terms Library > Templates > Create > Assign Document Type > Submit
5	Configure Contract Expert	Contracts Work Area > Terms Library > Contract Expert > Create Rule > Activate
6	Configure Approval Rules	Setup and Maintenance > Manage Task Configurations > ContractApproval > Edit Rules
7	Create Contract	Contracts Work Area > Create Contract > Enter Header, Lines, Terms, Fulfillment
8	Validate and Submit	Edit Contract > Actions > Validate; then Submit
9	Approve Contract	BPM Worklist Notification > Approve / Reject
10	Sign Contract (if required)	Edit Contract > Actions > Sign Contract (manual or electronic via integrated tool)
11	Initiate Fulfillment / PO	Edit Contract (Active) > Fulfillment Tab > Initiate Purchase Order or Agreement
12	Monitor Purchasing Activity	Contracts Work Area > Manage Processes > Run Track Purchasing Activity
13	Amend / Hold / Close	Edit Contract > Actions > Amend / Apply Hold / Close